IN THE UNITED STATES BANKRUPTCY COURT
FOR THE MIDDLE DISTRICT OF ALABAMA
NORTHERN DIVISION

IN RE: EXAMPLE DEBTOR, LLC	CASE NO. 00-00000-XXX-11 Chapter 11

MOTION FOR RELIEF FROM THE AUTOMATIC STAY AND BRIEF IN SUPPORT

I. JURISDICTION AND VENUE

1. The Court has jurisdiction over this contested matter under 28 U.S.C. §§ 157 and 1334. This is a core proceeding under 28 U.S.C. § 157(b)(2)(G).

2. Venue is proper in this district under 28 U.S.C. §§ 1408 and 1409.

3. Movant asks for relief under 11 U.S.C. § 362(d) and Federal Rule of Bankruptcy Procedure 4001(a).

II. BACKGROUND

A. The Debtor and the Chapter 11 Case

4. On [DATE], the Debtor filed a voluntary petition under Chapter 11 of the Bankruptcy Code. The Debtor continues to operate its business and manage its property as a debtor in possession under 11 U.S.C. §§ 1107 and 1108.

5. No trustee or examiner has been appointed. No official committee of unsecured creditors has been appointed as of the date of this motion.

B. The Loan and the Collateral

6. On [DATE], the Debtor executed a promissory note in favor of Movant in the original principal amount of [$AMOUNT] (the "Note"). The Note bears interest at [RATE] percent per annum and matures on [DATE].

7. To secure the Note, the Debtor granted Movant a security interest in certain equipment described in the security agreement dated [DATE] and attached as Exhibit A (the "Security

Agreement" and the "Collateral"). Movant perfected its interest by filing a financing statement with the [Alabama Secretary of State] on [DATE], a copy of which is attached as Exhibit B.

8. The Collateral consists of [DESCRIPTION OF EQUIPMENT, INCLUDING SERIAL NUMBERS OR OTHER IDENTIFYING DATA AS SHOWN IN EXHIBIT A].

9. The Debtor has made no payment to Movant since [DATE]. The unpaid balance is [$AMOUNT] as of the date of this motion, exclusive of attorney's fees and costs that may be allowed under the loan documents.

C. The Debtor's Default and Movant's Demand

10. The Debtor's failure to pay is a default under Section [__] of the Security Agreement. On [DATE], Movant sent the Debtor a written notice of default and demand for payment, a copy of which is attached as Exhibit C. The Debtor did not cure the default within the time stated in that notice.

11. Movant has not consented to the Debtor's use of the Collateral in the ordinary course of business since the date of the default, and no cash collateral order authorizing that use has been entered in this case.

III. GROUNDS FOR RELIEF

A. Cause Exists Under 11 U.S.C. § 362(d)(1)

12. Under 11 U.S.C. § 362(d)(1), the Court shall grant relief from the stay for cause, including lack of adequate protection of an interest in property.

13. Movant's interest in the Collateral is an interest in property within the meaning of § 362(d)(1). The Collateral is depreciating, and the Debtor has not proposed any payment, replacement lien or other form of adequate protection.

14. The Debtor bears the burden of proving the absence of cause under § 362(g). The Debtor has not yet made any showing on that point.

B. The Debtor Has No Equity in the Collateral

15. Under 11 U.S.C. § 362(d)(2)(A), the Court shall grant relief from the stay if the debtor does not have an equity in the property and the property is not necessary to an effective reorganization.

16. The Debtor has no equity in the Collateral. Based on the values stated in the Debtor's own schedules, the total of all liens against the Collateral exceeds its value.

17. The Collateral is not necessary to an effective reorganization. The Debtor's plan, as it has been described to Movant, does not depend on the continued use of this equipment, and the Debtor has not shown any reasonable prospect of reorganizing around it.

C. The Requested Modification Is Narrow

18. Movant does not ask the Court to adjudicate the amount of its claim or the validity of any other lien. It asks only that the stay be modified so that Movant may exercise its rights under applicable non-bankruptcy law with respect to the Collateral.

19. Movant asks that the order granting this motion waive the fourteen-day stay of Federal Rule of Bankruptcy Procedure 4001(a)(3), so that Movant may act promptly to protect the Collateral.

> The Court may grant relief from the stay "for cause, including the lack of adequate protection of an interest in property of such creditor." 11 U.S.C. § 362(d)(1).

20. The statute states the grounds; the record shows them. Each of the grounds above is supported by the Note, the Security Agreement and the Debtor's own schedules, and Movant asks the Court to take judicial notice of the Debtor's schedules under Federal Rule of Evidence 201.

IV. RESERVATION OF RIGHTS

21. Movant reserves the right to supplement this motion, to file a reply to any response, and to present evidence at any hearing. Nothing in this motion waives any right or remedy Movant holds under the Note, the Security Agreement or applicable law.

V. NOTICE AND HEARING

22. Movant requests that the Court set this motion for hearing on the next available date after the response period under the Court's local rules, and that any objection be filed and served in accordance with the notice of hearing that accompanies this motion.

WHEREFORE, Movant asks the Court to modify the automatic stay under 11 U.S.C. § 362(d) to permit Movant to enforce its rights in the Collateral; to waive the stay of Federal Rule of Bankruptcy Procedure 4001(a)(3); and to grant such other relief as the Court finds just.

Respectfully submitted,

[FIRM NAME]

/s/ [Attorney Name] (Bar No. [ ])
[Mailing address]
[City], AL [ZIP]
Tel: [TELEPHONE]
Email: [address]
Counsel for Movant [Movant Name]

CERTIFICATE OF SERVICE

I certify that on [DATE], I served a copy of this motion on the debtor, the debtor's counsel, the chapter trustee and all parties requesting notice by [method] at the addresses shown in the Court's CM/ECF system and by mail to the addresses shown on the attached list.

[Signature block]